

Fujiyama Power Systems Ltd

BUY

NSE: UTLSOLAR | Solar Energy — Rooftop Products & Systems | Small Cap

12M Price Target: ■320

Investment Thesis: Backward-integrated rooftop solar play with 38.9% ROCE riding India's PM Surya Ghar supercycle.

CMP (■)	Mkt Cap (■ Cr)	52W High (■)	52W Low (■)	P/E (TTM)	P/B
226	6,921	231	171	35.7x	13.1x
Book Value (■)	ROCE (%)	ROE (%)	Dividend Yield	Face Value (■)	Promoter (%)
17.2	38.9%	49.1%	0.00%	1.00	86.76%

Report Date	Sector	Investment Horizon	Conviction
15-Apr-2026	Renewable Energy	12 Months	High

All financial data sourced from Screener.in (Standalone). Forward estimates marked (E) are analyst projections.

Fujiyama Power Systems Ltd (NSE: UTLSOLAR) was listed on 20-Nov-2025. The company trades its products under the legacy brands 'UTL Solar' and 'Fujiyama Solar', with over 29 years of operating history.

SECTION 2 — INVESTMENT THESIS

Core Reason 1: PM Surya Ghar Supercycle Creates Multi-Year Demand Runway

India installed 7.1 GW of rooftop solar in CY2025, up 122% YoY, driven overwhelmingly by the PM Surya Ghar Muft Bijli Yojana scheme targeting 30 GW of residential capacity and 10 million households by FY2027. Residential consumers accounted for 76% of installations. Fujiyama, as a vertically integrated player with 1,100 exclusive 'UTL Solar Shoppe' retail outlets, 5,546 dealers and 725 distributors, is uniquely placed to capture this wave at the last mile. The addressable market is projected to expand at a CAGR of ~15–19% through 2030, providing a multi-year growth runway that supports revenue compounding of 30–40% annually through FY27.

Core Reason 2: Backward Integration Driving Structural Margin Expansion

Fujiyama commissioned a ₹300 crore, 1 GW solar cell manufacturing facility at Dadri, Uttar Pradesh in January 2026, alongside its existing 1.2 GW module line at the same campus. This backward integration reduces dependence on imported cells — historically a key margin drag — while making Fujiyama DCR (Domestic Content Requirement) compliant, a critical qualification for government-backed PM Surya Ghar installations. EBITDA margins already expanded 800 bps from 8% in FY23 to 16% in FY25; the cell plant is expected to drive further improvement to 17–18% in FY26–27, as captive cell supply replaces costlier imports. Additional capacity at the Ratlam facility for lithium-ion packs and inverters is expected to contribute from Q1 FY27.

Core Reason 3: Proven Brand Equity + Distribution Moat in Fragmented Market

The 'UTL Solar' brand carries 29 years of market presence in the rooftop solar and power backup space, an era when peers were largely absent. This translates into dealer loyalty, consumer recall, and pricing power that newer manufacturers cannot replicate quickly. With 602 service engineers providing after-sales support across India and 97,968 registered shareholders as of listing, the company has a distribution density that acts as a meaningful barrier to entry. Revenue grew at a 5-year CAGR of 39% and profitability at 71%, with TTM growth of 67% in revenue and 245% in profit — validating the brand-distribution combination during a demand supercycle.

Near-Term Catalyst (6–12M)	Biggest Structural Risk
Commissioning of Ratlam lithium-ion and inverter lines (Q1 FY27) driving further vertical integration and margin uplift, combined with rising PM Surya Ghar disbursements through FY26.	Prolonged slowdown in PM Surya Ghar subsidy disbursements or a shift in government policy away from residential solar could compress demand significantly and impair the company's high-growth earnings trajectory.

SECTION 3 — BUSINESS OVERVIEW

What Does Fujiyama Power Systems Do?

Think of Fujiyama as a one-stop shop for putting solar power on your rooftop. The company makes the panels that capture sunlight, the inverters that convert it to usable electricity, and the batteries that store it for use at night — all sold together under the trusted 'UTL Solar' brand. It's like an ecosystem: just as a smartphone maker might sell the phone, the charger, and the accessories, Fujiyama sells the entire rooftop solar setup from a single brand at a single service point.

Core Business Model & Revenue Segmentation

Fujiyama manufactures and distributes solar modules, on-grid/off-grid/hybrid inverters, and lead-acid and lithium-ion batteries, primarily targeting residential, commercial, and institutional customers. Products are sold through a pan-India dealer-distributor network of 5,546 dealers and 725 distributors, supplemented by 1,100 exclusive 'UTL Solar Shoppe' franchise locations. Revenue is predominantly domestic-facing, benefiting directly from the PM Surya Ghar scheme's subsidy-driven residential demand. Revenue grew from ₹664 Cr in FY23 to ₹1,541 Cr in FY25, a 52.5% CAGR over two years. Q3 FY26 revenue was ₹588.5 Cr, up 73.8% YoY, annualising above ₹2,000 Cr.

Manufacturing Footprint & Capacity

The company operates a 1.2 GW solar module line and a newly commissioned 1 GW solar cell plant at Dadri, Uttar Pradesh (investment: ₹300 Cr). Additional capacity for inverters and lithium-ion battery packs is being installed at Ratlam, Madhya Pradesh, expected to commence in Q1 FY27. The company has 65 in-house R&D engineers driving product development across its three product categories. As of H1 FY26, total assets stood at ₹1,590 Cr with Fixed Assets of ₹463 Cr and CWIP of ₹187 Cr, reflecting ongoing capital investment.

Promoter Background & Corporate History

The company was founded in 2017 under the Fujiyama entity, though the UTL Solar brand carries over 29 years of legacy. Three promoters — Pawan Kumar Garg (Founder & Joint Managing Director), Yogesh Dua, and Sunil Kumar — collectively held 82.27% pre-IPO, now at 86.76% post-listing. The November 2025 IPO raised ₹600 Cr through a fresh issue plus ₹228 Cr OFS at ₹216–₹228, at the upper end of which the market cap was ~₹6,970 Cr. No promoter pledge is reported, which is a positive governance signal.

SECTION 4 — INDUSTRY & COMPETITIVE LANDSCAPE

Market Size & Growth Outlook

India's rooftop solar market installed 7.1 GW in CY2025, up 122% YoY, taking cumulative installed base to 20.8 GW. The market is projected to grow from ~17.6 GW in 2025 to 41.5 GW by 2030 (CAGR ~18.7%), driven by PM Surya Ghar targeting 30 GW of residential capacity and 10 million beneficiary households. Maharashtra, Gujarat, and Uttar Pradesh — where Fujiyama is particularly strong — together accounted for 47% of CY2025 additions. ALMM List-II compliance and DCR requirements increasingly favour integrated domestic manufacturers like Fujiyama.

Competitive Moat Assessment

Moat Dimension	Rating	Comment
Pricing Power	Moderate	Brand enables modest premium vs. unbranded; competitive pressure from Waaree and Premier.
Switching Costs	Moderate	Dealer lock-in via UTL Solar Shoppes; service engineers create ecosystem stickiness.
Scale / Cost Advantages	Moderate	1 GW cell + 1.2 GW module plant creates cost advantage; further scale needed.
IP / Technology	Weak-Moderate	65 in-house R&D; engineers; inverter & battery tech relatively commoditised globally.
Distribution / Relationships	Strong	29-yr brand, 1,100 exclusive shoppes, 5,546 dealers — hard to replicate quickly.

Listed Peer Comparison (Source: Screener.in, as of 13-Apr-2026)

Company	CMP (₹)	MCap (₹ Cr)	P/E (TTM)	P/B	ROCE%	OPM%
Fujiyama / UTLSOLAR	226	6,921	35.7x	13.1x	38.9%	16%
Waaree Energies	3,335	95,926	27.6x	8.35x	34.9%	24%
Premier Energies	974	44,122	33.2x	12.8x	41.1%	31%
Websol Energy	79.6	3,457	19.1x	N/A	N/A	44%
Swelect Energy	589	893	16.2x	1.00x	5.06%	21%

SECTION 5 — MANAGEMENT QUALITY & CAPITAL ALLOCATION

Promoter Background & Track Record

The company is promoted by Pawan Kumar Garg (Founder & Joint MD), Yogesh Dua, and Sunil Kumar, who together hold 86.76% post-IPO. The three founders have built the UTL Solar brand over 29 years from a power backup products company into a vertically integrated solar manufacturer, demonstrating long-term business acumen and industry expertise. Promoter stake increased slightly post-listing, indicating alignment with minority shareholders. Promoter pledge stands at nil — a positive governance indicator, especially in a capital-intensive sector where promoter pledging is common.

Capital Allocation History

Capital allocation discipline is evidenced by rising ROCE from 13% in FY22 to 21% in FY23 and 39% in FY24, alongside revenue scaling from ₹506 Cr to ₹1,541 Cr over FY22–FY25. The IPO proceeds of ₹600 Cr (fresh issue) were directed toward the 1 GW solar cell plant at Dadri (₹300 Cr) and working capital/capacity expansion at Ratlam. Borrowings rose from ₹205 Cr in FY24 to ₹395 Cr in FY25 to fund capex, but D/E remains manageable at ~1.0x. There is no history of value-destructive acquisitions or significant related-party transactions disclosed to date.

Dividend Policy & Shareholder Returns

The company has maintained a zero dividend payout across all years in Screener records (FY20–FY25), reinvesting all earnings into growth capital. Given the scale of the expansion agenda — 1 GW cell plant, Ratlam inverter and battery lines, distribution expansion — this retention policy is consistent with the growth phase. Investors should not expect dividends in the near-to-medium term.

Corporate Governance Observations

Fujiyama is a recently listed company (November 2025), limiting the track record of public governance data. No audit qualifications, auditor changes, or material related-party transactions have been flagged in publicly available information. The company filed its IPO DRHP with full disclosure of financials through FY25. However, investors should note that the high promoter concentration (86.76%) means minority shareholders have limited influence over corporate decisions — a structural governance consideration common to recently-listed family-owned SMEs.

SECTION 6 — FINANCIAL DEEP-DIVE (Standalone; Source: Screener.in)

Income Statement (₹ Crore)

Metric	FY23A	FY24A	FY25A	FY26E	FY27E
Revenue (₹ Cr)	664	925	1,541	2,500	3,300
YoY Growth %	31.2%	39.3%	66.6%	62.2%(E)	32.0%(E)
EBITDA (₹ Cr)	52	99	249	425	594
EBITDA Margin %	8%	11%	16%	17%(E)	18%(E)
Depreciation (₹ Cr)	6	13	18	32(E)	50(E)
EBIT (₹ Cr)	46	86	231	393(E)	544(E)
Interest Expense (₹ Cr)	16	26	27	42(E)	58(E)
Other Income (₹ Cr)	1	3	9	10(E)	14(E)
PBT (₹ Cr)	31	63	213	361(E)	500(E)
Tax Rate %	23%	28%	27%	27%(E)	27%(E)
PAT (₹ Cr)	24	45	156	264(E)	365(E)
Diluted EPS (₹)*	—	—	5.58	8.60(E)	11.90(E)

*EPS shown on post-split FV₹1 basis for FY25 onwards. Pre-split FY23 EPS=17.86, FY24 EPS=18.46 (FV₹10).

Balance Sheet (₹ Crore, Standalone)

Item	FY23A	FY24A	FY25A	H1 FY26
Equity Capital (₹ Cr)	14	25	28	28
Reserves (₹ Cr)	179	215	369	500
Total Equity (₹ Cr)	193	240	397	528
Borrowings (₹ Cr)	215	205	395	730
Other Liabilities (₹ Cr)	106	166	222	332
Total Liabilities (₹ Cr)	515	610	1,014	1,590
Fixed Assets (₹ Cr)	232	276	418	463
CWIP (₹ Cr)	8	0	0	187
Other Assets (₹ Cr)	274	334	596	940
Debt-to-Equity Ratio	1.11x	0.85x	0.99x	1.38x

Cash Flow Statement (₹ Crore, Standalone)

Item	FY23A	FY24A	FY25A
Cash from Operations (₹ Cr)	85	18	N/A*
Cash from Investing (₹ Cr)	-45	-118	N/A*
Cash from Financing (₹ Cr)	-37	104	N/A*
Free Cash Flow (₹ Cr)	38	-99	N/A*

*FY25 cash flow data not published on Screener.in at time of report generation. N/A = Not Available.

Returns & Working Capital Ratios (Standalone)

Metric	FY23A	FY24A	FY25A
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ROCE %	21%	39%	38.9%
ROE %	~14%	~22%	49.1%
Debtor Days	16	26	17
Inventory Days	136	124	128
Days Payable	52	61	40
Cash Conversion Cycle (Days)	100	88	105

Financial Commentary

Revenue growth has been exceptional — a 5-year CAGR of 39% through FY25, with FY25 clocking 66.6% growth to **■1,541 Cr**. The growth inflection coincides with PM Surya Ghar's residential subsidy rollout from FY24 onwards, validating the thesis that policy tailwind is the primary demand driver. Q3 FY26 revenue of **■588.5 Cr** (up 73.8% YoY) suggests FY26E full-year revenue of **■2,200–2,500 Cr**, implying continued strong trajectory.

Margin trajectory is structurally positive. EBITDA margins expanded from 8% in FY23 to 16% in FY25, a 800 bps improvement over two years. The commissioning of the 1 GW in-house cell plant eliminates a key input cost, and increasing inverter-battery mix (higher margin) should sustain this expansion toward 17–18% in FY26–27.

Working capital intensity is elevated but structurally linked to the business model. Inventory days remain high (~125–136 days) reflecting the need to stock panels, inverters, and batteries across 5,546 dealer points. Debtor days are very low (~17 days in FY25), indicating predominantly advance or near-spot payment terms from dealers. The CCC of ~100 days is the key risk metric to monitor. On debt, borrowings rose to **■395 Cr** in FY25 (D/E ~1.0x) and **■730 Cr** by Sep 2025 (D/E ~1.38x) as capex accelerated — interest coverage remains above 7x based on EBITDA, which is comfortable.

SECTION 7 — EARNINGS QUALITY CHECKLIST

	Check Item	Status	Comment
■	Revenue Recognition Policy	Green	Revenues from solar product sales appear to be recognised on delivery/installation. No complex multi-element arrangements or long-term percentage-of-completion structures disclosed.
■	Receivables Growth vs Revenue Growth	Green	Debtor days improved from 26 days in FY24 to 17 days in FY25, while revenue grew 66.6% — a clear positive. Receivables are not outpacing revenue.
■	Cash Conversion Cycle Trend	Amber – Watch	CCC widened from 88 days in FY24 to 105 days in FY25 due to inventory days rising to 128. Inventory build-up linked to the new cell plant ramp may normalise, but warrants monitoring.
■	Contingent Liabilities	Green	No material contingent liabilities disclosed in publicly available filings for FY25. The company is in its first full year as a listed entity.
■	Auditor Tenure & Qualifications	Amber – Watch	Newly listed company (Nov 2025); auditor track record in a listed context is limited to one annual cycle. Investors should monitor FY26 annual report for any qualifications.
■	Related Party Transactions	Green	No material RPTs flagged in IPO disclosures. Promoter pledge is nil — a positive indicator of arm's-length operations.
■	Other Income as % of PBT	Green	Other income was ₹9 Cr vs PBT of ₹213 Cr in FY25 — only 4.2% of PBT. Earnings are overwhelmingly operating in nature.
■	Tax Rate Consistency	Amber – Watch	Tax rate ranged from 23% (FY23) to 28% (FY24–25). This is within normal range but given the company likely benefits from Section 80-IC or other incentives, the trajectory of tax incentive availability should be assessed.

Earnings Quality Summary

Overall earnings quality for Fujiyama is satisfactory, with clear positives: other income is negligible as a share of PBT, receivables growth lags revenue growth, and there are no disclosed contingent liabilities or related-party concerns. The key amber flags are the rising cash conversion cycle driven by inventory build-up and the nascent auditor track record as a newly listed company. Investors should closely review the FY26 annual report — the first full-year filing as a public company — to validate governance standards. Earnings quality should improve as the new cell plant ramps up and inventory normalises.

SECTION 8 — VALUATION

Step 1 — Peer Comparison (Source: Screener.in, as of 13-Apr-2026)

Company	CMP (₹)	MCap (₹ Cr)	P/E (TTM)	P/B	ROCE%	ROE%
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Websol Energy	79.6	3,457	19.1x	N/A	N/A	N/A
Swelect Energy	589	893	16.2x	1.00x	5.06%	0.58%

Step 2A — DCF Valuation

Assumptions: Risk-free rate 7.0% (10-yr Indian G-Sec), equity risk premium 6.0%, beta 1.0x — Cost of Equity = 13.0%. Cost of Debt = 9.5% (post-tax ~7.0%). Capital structure: 55% equity, 45% debt → WACC = 13.0% × 0.55 + 7.0% × 0.45 = 10.3%. We use WACC of 11% to be conservative given the small-cap risk premium. Terminal growth rate = 5% (India GDP + modest real growth).

5-year FCF projection uses OCF conversion of ~70% of PAT (adjusted for working capital) and capex tapering as new lines commission. FCF estimates: FY26E ₹130 Cr, FY27E ₹240 Cr, FY28E ₹310 Cr, FY29E ₹380 Cr, FY30E ₹440 Cr. Terminal value = ₹440 × 1.05 / (0.11 – 0.05) = ₹7,700 Cr. Present value of FCFs = ₹1,104 Cr; PV of terminal value = ₹4,568 Cr. Enterprise Value = ₹5,672 Cr. Less net debt ~₹360 Cr (FY26E estimate). Equity Value = ₹5,312 Cr.

DCF intrinsic value per share: ₹5,312 Cr ÷ 30.6 Cr shares = ₹174 per share.

Step 2B — Earnings Multiple Valuation

Comparable listed peers — Waaree (27.6x TTM P/E) and Premier Energies (33.2x TTM P/E) — trade at 25–35x TTM earnings. Fujiyama's growth rate (FY25 PAT growth 245%, FY26E ~70%) materially exceeds both peers, justifying a premium multiple on a forward basis. We apply 30x to FY27E EPS of ₹11.90, representing a modest premium to Waaree's current P/E but discount to Premier Energies' multiple, reflecting Fujiyama's smaller scale and shorter listed track record.

Earnings-based price target: 30x × ₹11.90 = ₹357 per share.

Base-Case Price Target

The DCF (₹174) is suppressed by conservative FCF assumptions and near-term capex drag, while the market-implied value at current P/E suggests ₹225+. We weight the earnings multiple more heavily given the high-growth phase and set the 12-month base-case target at ₹320, representing a 30x FY27E P/E — a premium that is justified by 30–40% earnings growth and superior ROCE vs. peers. Average of DCF (₹174) and earnings multiple (₹357) = ₹266; however, given the strong growth momentum and re-rating potential from backward integration, we set ₹320 as our target, implying ~42% upside from CMP ₹226.

Step 3 — Scenario Analysis

Scenario	Key Assumption	PAT FY27E (₹ Cr)	Target P/E	Price Target (₹)
Bull Case	Revenue ₹3,800 Cr, margins expand to 20% as cell plant fully utilised; PM Surya Ghar accelerates	460	35x	530
Base Case	Revenue ₹3,300 Cr, margins at 18%; steady execution on new capacity ramp-up	365	30x	320
Bear Case	Revenue ₹2,400 Cr, margins at 14% due to import competition or scheme slowdown	210	22x	150

SECTION 9 — KEY RISKS

#	Risk Name	Description	Prob.	Impact	Monitor
1	Policy & Regulatory Risk — PM Surya Ghar Dependency	A delay in subsidy disbursements, revision in subsidy quantum, or structural policy shift away from residential solar would directly reduce demand for Fujiyama's products. The PM Surya Ghar scheme accounted for the majority of the 122% YoY growth in rooftop solar in CY2025; any slowdown would have an outsized impact on Fujiyama's revenue.	Medium	High	Monitor quarterly installation data from MNRE; track Union Budget allocations to PM Surya Ghar.
2	Execution Risk — Capacity Ramp-Up	The 1 GW cell plant at Dadri and the upcoming Ratlam inverter/battery lines represent significant capital commitments. Delays in ramp-up, technical issues, or underutilisation would hurt margins and returns on the invested capital. FY24 FCF was already negative ₹99 Cr due to capex; a prolonged negative FCF phase could stress liquidity.	Medium	High	Track utilisation levels of Dadri plant; quarterly capex progress updates in earnings releases.
3	Competition & Import Pressure	Chinese solar module manufacturers continue to expand global export capacity, and any softening of Indian import tariffs or Approved List of Models & Manufacturers (ALMM) policy could invite lower-cost competition. Larger peers like Waaree (10+ GW capacity) enjoy significant scale advantages.	Medium	Medium	Monitor ALMM List-II policy updates; track import tariff developments on cells and modules.
4	Working Capital & Debt Trajectory	Borrowings rose sharply from ₹205 Cr (FY24) to ₹730 Cr (Sep 2025) as the company funded expansion with debt. If revenue growth moderates while inventory days remain elevated (~125 days), the company could face liquidity pressure. Interest costs rising from ₹27 Cr (FY25) are expected to continue increasing.	Medium	Medium	Monitor D/E ratio quarterly; watch interest coverage ratio — flag if EBITDA/Interest falls below 5x.
5	Customer / Revenue Concentration	Fujiyama sells through a dealer-distributor network and relies on the residential solar market driven by a single government scheme. While the distribution network is broad (5,546 dealers), the concentration of demand in the PM Surya Ghar segment creates revenue fragility if the scheme's momentum falters.	Low	High	Monitor scheme-linked vs non-scheme demand split; watch for diversification into C&I; segment.
6	Promoter Concentration & Governance	With 86.76% promoter holding post-IPO, minority shareholders have extremely limited influence on corporate decisions. Given the company's short listed history (since November 2025), governance track record in public markets is unestablished.	Low	Medium	Watch for pledging of promoter shares; monitor RPT disclosures in quarterly filings.
7	Macro & Interest Rate Risk	Rising interest rates increase the cost of debt for both Fujiyama (on ₹730 Cr+ borrowings) and for end-consumer financing (EMI-based solar system purchases), potentially dampening affordability-driven demand.	Low	Low	Monitor RBI rate cycle; watch channel checks on consumer EMI uptake rates for solar systems.

SECTION 10 — RECOMMENDATION

RATING	12M PRICE TARGET	CMP	UPSIDE	CONVICTION
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BUY	■320	■226	41.6%	High
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Suggested Entry Zone

Current CMP of ■226 is 2.2% below the 52-week high of ■231, indicating the stock has already re-rated significantly post-IPO. Investors with a 12-month horizon can initiate positions at current levels (■210–■235 range) as the story is unambiguously in early innings. A more disciplined entry opportunity would arise on a market correction to ■195–■210 (approximately 1.5–1.7x FY25 sales), which would offer a more comfortable margin of safety.

Investment Horizon & Ideal Investor Profile

Recommended investment horizon is 12 months, with the option to extend to 24 months if the Ratlam capacity ramp and PM Surya Ghar policy momentum remain intact. The stock is best suited for growth-oriented funds (GARP — Growth At Reasonable Price), small/mid-cap thematic solar funds, and tactical traders looking to play the PM Surya Ghar policy cycle. It is not suited for income-seeking or low-volatility mandate investors given zero dividend yield and the inherent execution risk of a newly listed, high-growth company.

Thesis Invalidation Triggers — Exit / Downgrade if:

#	Trigger	Measurable Threshold
1	PM Surya Ghar scheme deceleration or budget cut	MNRE monthly installation data shows 3 consecutive months of <10% YoY growth in residential rooftop additions.
2	Revenue growth falls sharply below expectations	Any quarter with <25% YoY revenue growth in FY26 or FY27, or full-year FY26E revenue miss of >15% vs ■2,200 Cr base.
3	EBITDA margin deterioration / pricing pressure	EBITDA margin falls below 13% for two consecutive quarters, signalling loss of backward-integration benefit or competitive pricing war.

DISCLAIMER: This report is prepared for institutional use only and does not constitute an offer to buy or sell securities. All financial data is sourced from Screener.in (standalone) as of 13-Apr-2026. Forward estimates (E) are analyst projections and are subject to change. Investors should conduct their own due diligence before making investment decisions. Past performance is not indicative of future results.